



Tertiary Infotech Academy Pte Ltd

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LEARNER GUIDE

For

WSQ Budgeting for Small and Medium Enterprises

TGS Ref No: TGS-2021002336

Conducted by

Tertiary Infotech Academy Pte Ltd

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DOCUMENT VERSION CONTROL RECORD

Version Number	Effective Date of Release	Summary of Included Changes	Author
10	11 August 2026	Legacy release — Budgeting for SMEs courseware (reference deck v10).	Dr Alfred Ang
11	11 August 2026	Full regeneration in the single-source pipeline: detailed step-by-step guides for all 12 hands-on activities across the 7 topics, aligned to the visual slide deck and the WA (SAQ + CS) assessments.	Dr Alfred Ang
12	11 August 2026	QA fixes: workflow diagram embedded per activity, per-activity step numbering matching the Markdown mirror.	Dr Alfred Ang
13	11 August 2026	Added mock data sets for every activity (Excel workbooks + CSV mirrors, one folder per activity: activities/activity01 - activity12) with full step-by-step walkthroughs for analyzing both the Excel and the CSV data.	Dr Alfred Ang

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Introduction

This Learner Guide accompanies the WSQ course WSQ Budgeting for Small and Medium Enterprises (TGS-2021002336), conducted by Tertiary Infotech Academy Pte Ltd. It provides detailed step-by-step instructions for all 12 hands-on activities, organised by the seven course topics aligned to the Skills Framework TSC Budgeting (ICT-FIN-3001-1.1). The activities use Xero, Microsoft Power BI, Google Forms and case-study templates so that every learning outcome is practised hands-on.

Use this guide alongside the course slides and the activity folders (activities/) of the course repository. The slides give each activity a one-page overview; this guide carries the full detailed steps. The final assessment is open book — you may refer to the slides, this Learner Guide and any approved materials.

Course Learning Outcomes

- LO1: Analyse business strategies and objectives
- LO2: Carry out financial forecasting
- LO3: Prepare budget to meet cash flow requirements
- LO4: Prepare budget control plan
- LO5: Perform financial analysis to highlight discrepancies
- LO6: Report budget and seek approval
- LO7: Perform financial control to ensure compliance

Skills Framework Alignment

This course is aligned to the Budgeting TSC (ICT-FIN-3001-1.1) under the ICT Skills Framework.

TSC Abilities

- A1: Analyse business function strategies, functional objectives and operational plans
- A2: Carry out forecasting and budgeting for the financial year
- A3: Calculate the business unit's cash flow requirements
- A4: Determine the business unit's financing needs for the financial year
- A5: Compare budget data with estimations to highlight discrepancies
- A6: Report budget calculations and discrepancies to organisation management to facilitate decisions on budget allocation
- A7: Ensure adherence to financial controls in accordance with relevant organisational corporate governance and financial policies, legislation and regulations

TSC Knowledge

- K1: Objectives, parameters and types of budgets

- K2: Key principles of accounting and financial systems
- K3: Types of data sources and data required to prepare a budget
- K4: Accounting principles and practices related to budget preparation
- K5: Key principles of budgetary control and budget plans, budgetary control techniques
- K6: Requirements of Singapore's taxation policies
- K7: Functional objectives and key requirements
- K8: Organisational financial data
- K9: Financial analytical techniques and methodology
- K10: Stakeholders to consult on budget calculations

Before You Start — Environment Setup

What you need

- A laptop with a modern browser (Chrome, Edge or Safari) and internet access.
- An email address you can access in class — used to sign up for the free Xero trial and Microsoft Power BI accounts.
- The lab data files (Excel workbooks + CSV mirrors) — one folder per activity, activities/activity01 ... activity12, in the course repository and on the LMS (lms-tms.tertiaryinfotech.com) under Activities. Every activity's mock data (financial statements, budgets, actuals, the 99 Agency template, Xero-style exports and tax worksheets) ships there.
- Excel, Google Sheets or LibreOffice Calc to work through the case-study schedules.

Accounts you will create during the course

- Xero (free 30-day trial, includes the Demo Company) — <https://www.xero.com/sg/signup/>
- Microsoft Power BI (free trial) — <https://powerbi.microsoft.com/en-us/landing/signin/>

Conventions used in every activity

- Menu paths are written as Menu → Submenu → Item (e.g. Accounting → Reports → Budget Manager).
- Amounts are in Singapore dollars unless stated otherwise.
- Each activity ends with a 'Check your work' section — verify before moving on.
- If a screen differs slightly from these steps, Xero or Power BI may have updated its UI; the flow remains the same.

Topic 01 — Introduction to Financial Budgeting

Business strategies and objectives · Budgeting parameters · Budgeting types (A1, K1)

Key concepts

- What is a budget? — A quantitative operational plan for acquiring and using resources over a set period — goals plus a detailed plan to achieve them.
- The three statements — A company budget is expressed through the Profit & Loss, Balance Sheet and Cash Flow Statement.
- An internal function — Budgeting is management accounting — customised to the company's needs, unlike IFRS/GAAP financial statements.
- Master Budget — Aggregates operating, financial and investing inputs from every department into one plan.
- Static vs flexible — Most companies review results monthly or quarterly and re-forecast — a flexible planning model.
- Budget types — Operating, financial, capital and cash budgets; baseline, incremental, zero-based and hybrid methods.

Activity 1 — Financial Statements with Xero

Learning outcome: LO1 — Analyse business strategies and objectives (A1, K1).

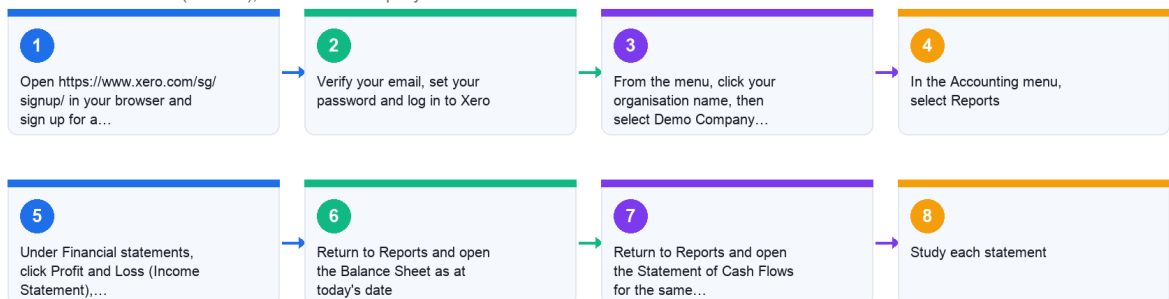
Goal: Sign up for a free Xero account, open the demo company with fictional data, and generate the three financial statements a budget is expressed through.

What you'll produce

The Income Statement, Balance Sheet and Cash Flow Statement of the Xero demo company. (Tools: Xero (free trial), Xero Demo Company.)

Activity 1 — Financial Statements with Xero

Workflow · Tools: Xero (free trial), Xero Demo Company



Activity 1 workflow — Financial Statements with Xero

Step-by-step

1. Open <https://www.xero.com/sg/signup/> in your browser and sign up for a free Xero account with your email address.
2. Verify your email, set your password and log in to Xero.
3. From the menu, click your organisation name, then select Demo Company to switch into the demo organisation with fictional data.

4. In the Accounting menu, select Reports.
5. Under Financial statements, click Profit and Loss (Income Statement), set the date range to the current financial year and click Update.
6. Return to Reports and open the Balance Sheet as at today's date.
7. Return to Reports and open the Statement of Cash Flows for the same period.
8. Study each statement: identify Revenue, Cost of Goods Sold and SG&A on the P&L; Assets, Liabilities and Equity on the Balance Sheet; and operating, investing and financing cash flows on the Cash Flow Statement.

Data files for this activity (activities/activity01/)

- activity-01-financial-statements.xlsx — GreenLeaf Trading Pte Ltd — Income Statement, Balance Sheet and Cash Flow sheets with live formulas.
- activity-01-income-statement.csv — The Income Statement as plain data (Line Item, Amount).
- activity-01-balance-sheet.csv — The Balance Sheet as plain data.
- activity-01-cash-flow.csv — The Cash Flow Statement as plain data.

Analyzing the Excel workbook — step by step

1. Open activities/activity01/activity-01-financial-statements.xlsx in Excel (or Google Sheets / LibreOffice). It has three sheets — Income Statement, Balance Sheet and Cash Flow — mirroring the three statements you generated in Xero.
2. On the Income Statement sheet, click cell B6 (Total Revenue) and read the formula bar: =SUM(B4:B5). Blue numbers are inputs; black numbers are formulas — never overwrite a black cell.
3. Trace the P&L structure downwards: Total Revenue – Total COGS = Gross Profit (B10); Gross Profit – Total SG&A = Operating Profit; then Interest, Tax (17%) and Net Profit. Click each bold cell and confirm its formula matches the story.
4. Read the two ratio cells at the bottom: Gross Profit Margin = Gross Profit ÷ Total Revenue (62.1%) and Net Profit Margin (21.4%). Change Marketing to 88,000 and watch Operating Profit, Tax, Net Profit and both margins recalculate; press Ctrl+Z to undo.
5. On the Balance Sheet sheet, verify TOTAL ASSETS (770,000) = Total Current Assets + Net PP&E, and that the Balance Check cell at the bottom shows 0 — Assets – Liabilities – Equity must always be zero. If you ever edit an input and the check is non-zero, the statement no longer balances.
6. On the Cash Flow sheet, follow the three sections: Operating (Net Profit + Depreciation ± working-capital movements = 254,470), Investing (–80,000 CAPEX)

and Financing (–70,000). Confirm Closing Cash (185,000) equals the Cash and Bank line on the Balance Sheet — the statements tie.

7. Compare each sheet with the same statement you generated from the Xero demo company: identify where Revenue, COGS, Assets, Liabilities, Equity and the operating/investing/financing sections appear in both.

Analyzing the CSV data — step by step

1. Open activities/activity01/activity-01-income-statement.csv in a text editor first — see that a CSV is just comma-separated rows with a header line (Line Item, Amount). This is the format accounting systems export.
2. Import it into a blank spreadsheet (Excel: Data → Get Data → From Text/CSV; Google Sheets: File → Import → Upload). Confirm the Amount column imported as numbers, not text.
3. The CSV carries values only — no formulas. Rebuild the checks yourself: in a spare cell compute Gross Profit = Total Revenue – Total COGS with a SUM/lookup, and confirm you get 745,000, matching the Excel workbook.
4. Import activity-01-balance-sheet.csv the same way and verify TOTAL ASSETS (770,000) = TOTAL LIABILITIES (348,000) + TOTAL EQUITY (422,000) with a formula.
5. Import activity-01-cash-flow.csv and verify Opening Cash + Net Change in Cash = Closing Cash (80,530 + 104,470 = 185,000).

Check your work

You can display all three statements for the Xero demo company and point out where revenue, COGS, assets, liabilities, equity and net cash movement appear on each.

Note: A printable copy of this activity — with its workflow diagram and data files — is in the activities/activity01/ folder of the course repository.

Activity 2 — Creating a Budget in Xero

Learning outcome: LO1 — Analyse business strategies and objectives (A1, K1).

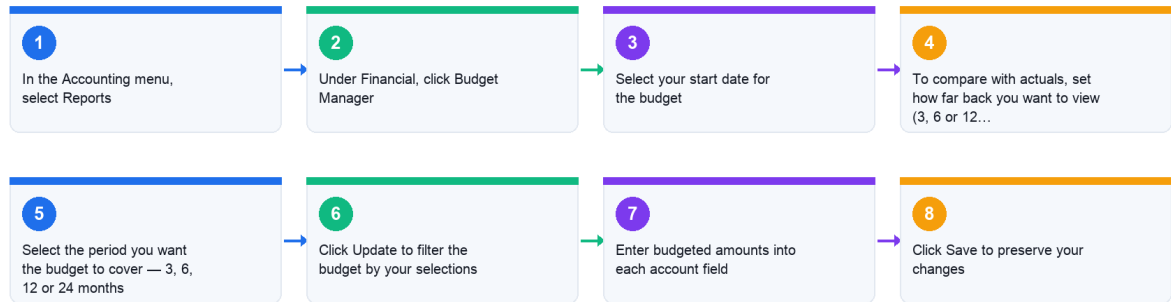
Goal: Use Xero's Budget Manager to create a budget for the demo company, comparing budgeted amounts against actuals.

What you'll produce

A 12-month budget in Xero Budget Manager with budgeted amounts entered for key P&L accounts. (Tools: Xero Budget Manager.)

Activity 2 — Creating a Budget in Xero

Workflow · Tools: Xero Budget Manager



Activity 2 workflow — Creating a Budget in Xero

Step-by-step

1. In the Accounting menu, select Reports.
2. Under Financial, click Budget Manager.
3. Select your start date for the budget.
4. To compare with actuals, set how far back you want to view (3, 6 or 12 months).
Select 'None' if you don't want to view actuals.
5. Select the period you want the budget to cover — 3, 6, 12 or 24 months.
6. Click Update to filter the budget by your selections.
7. Enter budgeted amounts into each account field. Use a simple formula with the green arrows to fill out the months (e.g. apply a fixed amount or a % increase per month).
8. Click Save to preserve your changes.

Data files for this activity (activities/activity02/)

- activity-02-budget-plan.xlsx — FY2026 12-month budget plan — Sales grows 2%/month; commission, discount and direct costs are live %-of-sales formulas.
- activity-02-budget-plan.csv — The same budget as plain data, one row per account, Jan–Dec + Total.

Analyzing the Excel workbook — step by step

1. Open activities/activity02/activity-02-budget-plan.xlsx. Row 2 holds the three driver rates in blue — Commission 5%, Discount 2%, Direct Costs 55%. Rows 5–14 are the account lines across Jan–Dec with a Total column.

2. Click any Sales Commission cell (row 6) and read its formula, e.g. $=B5*\$C\2 — commission is derived from Sales via an absolute reference to the rate cell. This is why you budget drivers, not hardcoded numbers.
3. Click the Total column (column N): every account totals with $=SUM(B..M)$. Confirm Sales totals 1,207,085 for the year.
4. Read the Net Surplus row: each month = Sales – all expense rows. Check which months are surplus and which are deficit.
5. Test the model: change the Direct Costs rate (G2) from 55% to 60% and watch every month's Direct Costs and Net Surplus recalculate. Undo (Ctrl+Z).
6. Now enter this budget into Xero Budget Manager (Accounting → Reports → Budget Manager): create a 12-month budget and key the monthly figures for each account — use the green-arrow fill with a 2% monthly increase for Sales instead of typing all 12 cells.
7. Save in Xero, then cross-check: the Xero budget's annual total for Sales must equal the workbook's Total cell.

Analyzing the CSV data — step by step

1. Open activities/activity02/activity-02-budget-plan.csv in a text editor — one row per account, columns Jan–Dec plus Total, values only.
2. Import it into a blank spreadsheet. Add a check column: $=SUM(B2:M2)$ beside the imported Total and confirm they agree for every account — this is how you validate someone else's exported budget.
3. Compute the commission rate implied by the data: $\text{Sales Commission Total} \div \text{Sales Total} \approx 5\%$. Because a CSV has no formulas, recomputing the driver rates is how you reverse-engineer the assumptions.
4. Use this CSV as your data-entry source when keying the budget into Xero Budget Manager if you prefer working from a printed sheet.

Check your work

Your saved budget shows 12 months of budgeted figures for revenue and expense accounts, and Budget Manager displays actuals alongside the budget for comparison.

Note: A printable copy of this activity — with its workflow diagram and data files — is in the activities/activity02/ folder of the course repository.

Activity 3 — Identifying Budget Types

Learning outcome: LO1 — Analyse business strategies and objectives (A1, K1).

Goal: Classify the budgets you built in Xero against the classification of budgets — operating, financial, capital and cash — and the preparation methods (baseline, incremental, zero-based, hybrid).

What you'll produce

A completed budget-type classification table for the parameters used in the previous Xero activities. (Tools: Xero, budget classification worksheet.)

Activity 3 — Identifying Budget Types

Workflow · Tools: Xero, budget classification worksheet



Activity 3 workflow — Identifying Budget Types

Step-by-step

1. List the accounts you budgeted in Activity 2 (revenue lines, cost of sales, SG&A expenses, capital items).
2. For each account, identify whether it belongs to an operating budget, financial budget, capital budget or cash budget.
3. Identify the preparation method you used for each line: baseline (previous plan), incremental (% or \$ on the baseline), zero-based (fresh) or hybrid.
4. Discuss with the class: which budget type and method fits an SME's sales budget, rental expense and new-equipment purchase, and why.

Data files for this activity (activities/activity03/)

- activity-03-budget-classification.xlsx — 12 spending items to classify — yellow Budget Type and Preparation Method columns to fill; a Reference sheet defines every term.
- activity-03-budget-classification.csv — The same worksheet as plain data with empty classification columns.

Analyzing the Excel workbook — step by step

1. Open activities/activity03/activity-03-budget-classification.xlsx on the Worksheet sheet — 12 real spending items with their annual amounts. The yellow cells are yours to fill.

2. Open the Reference sheet and read the definitions: Operating / Cash / Capital / Financial budget types, and Baseline / Incremental / Zero-based / Hybrid preparation methods.
3. For each item, fill Budget Type: e.g. 'Monthly office rental' → Operating; 'New delivery van purchase' → Capital; 'Cash float for retail outlets' → Cash; 'Bank loan repayment' and 'Dividend payout' → Financial.
4. Fill Preparation Method for each: rent is a Baseline carry-forward; salaries are typically Incremental; a brand-new POS system is Zero-based; raw materials may be Hybrid (baseline volume × new prices). Be ready to justify each choice.
5. Add a summary: in a spare cell use =COUNTIF(C5:C16,"Operating") (and repeat for the other types) to count how many items fall in each budget type.
6. Compare your classification with a neighbour and defend any differences using the Reference definitions — several items have more than one defensible method.

Analyzing the CSV data — step by step

1. Open activities/activity03/activity-03-budget-classification.csv in a text editor to see the raw worksheet — the two classification columns are empty strings.
2. Import into a spreadsheet, fill the two columns as above, then File → Save As / Download as CSV to practise round-tripping data: open your saved CSV again and confirm your classifications survived.
3. Sort the imported data by your Budget Type column to group items and check each group's total annual amount with SUMIF.

Check your work

You can name the budget type and preparation method for every parameter in your Xero budget and justify the classification.

Note: A printable copy of this activity — with its workflow diagram and data files — is in the activities/activity03/ folder of the course repository.

Topic 02 — Financial Forecasting

Key principles of accounting · Key principles of corporate finance · Time value of money (A2, K2)

Key concepts

- Accounting principles — GAAP/IFRS rules — accrual, conservatism, consistency, matching, materiality, revenue recognition and going concern.

- Accrual vs cash method — Accrual records revenue when earned and expenses when incurred; cash records only when money moves.
- Corporate finance — Maximising shareholder value through capital investment, capital financing and working-capital decisions.
- Capital financing — Balancing debt against equity — too much debt raises default risk; too much equity dilutes earnings.
- Time value of money — A dollar today is worth more than a dollar tomorrow — discount long-horizon budgets accordingly.
- Forecasting techniques — Qualitative and quantitative methods over short, medium and long horizons; bottom-up and top-down.

Activity 4 — Financial Forecasting with Xero

Learning outcome: LO2 — Carry out financial forecasting (A2, K2).

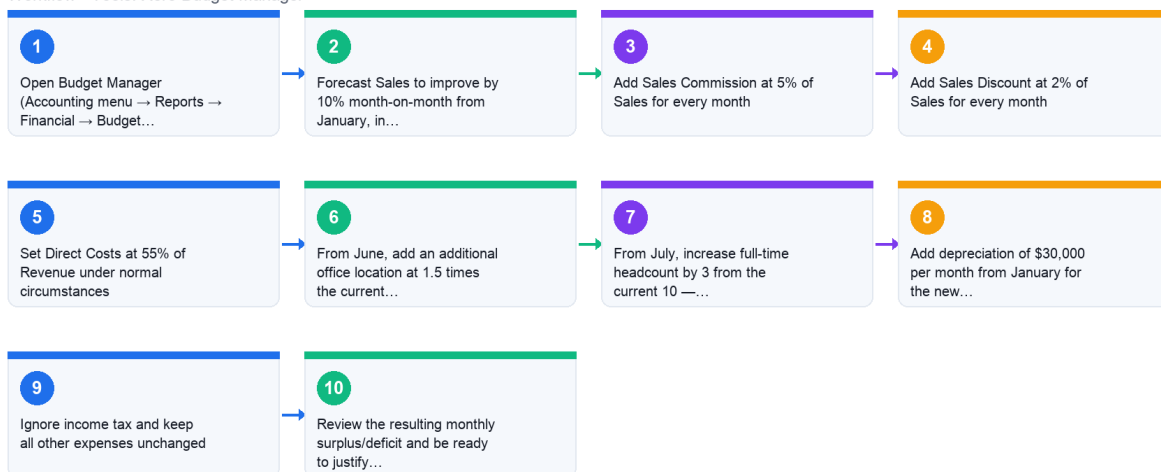
Goal: Use Xero's Budget Manager to perform a full financial forecast for the coming year from a set of business assumptions, choosing and justifying your budgeting methods.

What you'll produce

A 12-month financial forecast in Xero Budget Manager reflecting all given sales, cost, headcount and capex assumptions. (Tools: Xero Budget Manager.)

Activity 4 — Financial Forecasting with Xero

Workflow · Tools: Xero Budget Manager



Activity 4 workflow — Financial Forecasting with Xero

Step-by-step

1. Open Budget Manager (Accounting menu → Reports → Financial → Budget Manager) and start a new 12-month budget for the coming financial year.
2. Forecast Sales to improve by 10% month-on-month from January, in comparison to the same month last year.

3. Add Sales Commission at 5% of Sales for every month.
4. Add Sales Discount at 2% of Sales for every month.
5. Set Direct Costs at 55% of Revenue under normal circumstances.
6. From June, add an additional office location at 1.5 times the current office rental.
7. From July, increase full-time headcount by 3 from the current 10 — scale salary expense accordingly.
8. Add depreciation of \$30,000 per month from January for the new capital-expenditure projects.
9. Ignore income tax and keep all other expenses unchanged. Save the budget.
10. Review the resulting monthly surplus/deficit and be ready to justify which budgeting method (baseline, incremental, zero-based or hybrid) you applied to each line.

Data files for this activity (activities/activity04/)

- activity-04-fy2025-actuals.xlsx — FY2025 monthly actuals (the forecast baseline) plus a yellow Forecast Assumptions sheet holding every FY2026 assumption.
- activity-04-fy2025-actuals.csv — The FY2025 actuals as plain data, Jan–Dec + Total per account.

Analyzing the Excel workbook — step by step

1. Open activities/activity04/activity-04-fy2025-actuals.xlsx. The FY2025 Actuals sheet is your baseline: Sales grew about 1.5%/month from 75,000; commission 5%, discount 2%, direct costs 55%; rent 7,500; salaries 45,000 (10 staff); depreciation 12,000; other 5,000.
2. Open the Forecast Assumptions sheet — the yellow cells hold every FY2026 assumption from the activity: +10% sales vs the same month last year, 5% commission, 2% discount, 55% direct costs, an extra office at 1.5× rent from June, +3 headcount at 4,500/month from July, and 30,000/month depreciation from January. Income tax is ignored.
3. Build the FY2026 forecast: add a new sheet (or columns) and for January compute $\text{Sales} = \text{Jan FY2025} \times (1+10\%)$; copy across all 12 months.
4. Derive the dependent lines with formulas referencing the assumption cells:
 $\text{Commission} = \text{Sales} \times 5\%$, $\text{Discount} = \text{Sales} \times 2\%$, $\text{Direct Costs} = \text{Sales} \times 55\%$.
5. Handle the step changes with IF or by splitting the year: Rent = 7,500 until May, then $7,500 \times (1 + 1.5)$ from June (current office plus the new one at 1.5×); Salaries = 45,000 until June, then $(10+3) \times 4,500 = 58,500$ from July; Depreciation = 12,000 + 30,000 = 42,000 every month.

6. Add a Net Surplus row = Sales – all expense lines and total the year. Identify which months turn negative after the June/July step-ups and what that means for cash planning.
7. Now reproduce the same forecast in Xero Budget Manager, using the workbook as your working: the Xero monthly figures must match your sheet. Be ready to justify which budgeting method (baseline / incremental / zero-based / hybrid) you applied to each line.

Analyzing the CSV data — step by step

1. Import activities/activity04/activity-04-fy2025-actuals.csv into a blank spreadsheet — this is the same baseline without any formulas, as a finance system would export it.
2. Verify the baseline before forecasting from it: recompute one derived line (e.g. Jan Commission ÷ Jan Sales = 5%) to confirm the data is internally consistent.
3. Build the FY2026 forecast columns beside the imported data using the same assumption formulas as the Excel walkthrough — starting from a values-only CSV is the realistic case, since exports never carry formulas.

Check your work

Your Budget Manager forecast reflects every assumption (10% MoM sales growth, 5% commission, 2% discount, 55% direct costs, new office from June, +3 headcount from July, \$30k/month depreciation) and you can justify the method used for each line.

Note: A printable copy of this activity — with its workflow diagram and data files — is in the activities/activity04/ folder of the course repository.

Topic 03 — Budget Preparation

Cash flow calculation · Preparing the budget (A3, K3, K4)

Key concepts

- Budgeting methods — Baseline, incremental, zero-based and hybrid — choose per account and per business need.
- Key components — Fixed vs flexible expenses, total income and disposable income (surplus).
- Cash budget — Estimates cash inflows and outflows weekly, monthly, quarterly or annually to prove the entity can keep operating.
- Cash inflow / outflow — Inflows from sales, investments and financing; outflows for wages, rent, suppliers and dividends.

- Working capital — Current assets minus current liabilities — the measure of liquidity and short-term health.
- The 7-step master budget — Revenue → cost of sales → SG&A → fixed assets → working capital → financial liabilities → compilation.

Activity 5 — Master Budget Preparation — 99 Agency Case Study

Learning outcome: LO3 — Prepare budget to meet cash flow requirements (A3, K3, K4).

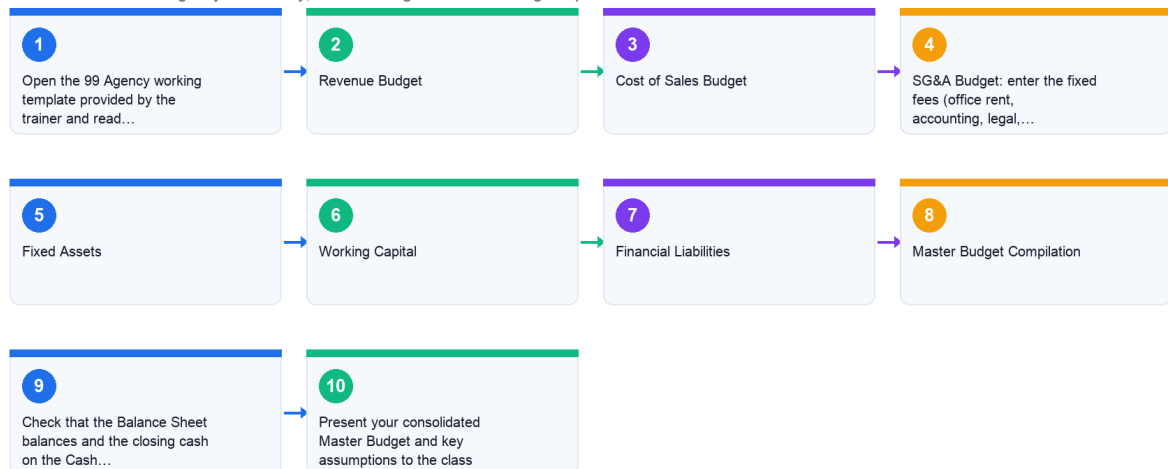
Goal: Prepare a one-year Master Budget (Income Statement, Balance Sheet and Cash Flow Statement) for the fictitious company 99 Agency, working through the seven budget schedules on the provided template.

What you'll produce

A complete Master Budget for 99 Agency — P&L, Balance Sheet and Cash Flow — consolidated from the seven schedules and presented to the class. (Tools: 99 Agency case study, Excel / Google Sheets working template.)

Activity 5 — Master Budget Preparation — 99 Agency Case Study

Workflow · Tools: 99 Agency case study, Excel / Google Sheets working template



Activity 5 workflow — Master Budget Preparation — 99 Agency Case Study

Step-by-step

1. Open the 99 Agency working template provided by the trainer and read the case background: the company's operations, revenue forecast, cost of SEO and ads, and the key assumptions.
2. STEP 1 — Revenue Budget: build the 12-month revenue forecast using the bottom-up approach with company-specific parameters, and the top-down approach for the long-term view.

3. STEP 2 — Cost of Sales Budget: budget the ad-campaign and SEO-campaign costs using the baseline budget and averaging method.
4. STEP 3 — SG&A Budget: enter the fixed fees (office rent, accounting, legal, staff training, management salaries, administration) and the %-of-revenue lines (external services, selling commissions).
5. STEP 4 — Fixed Assets: schedule property, plant & equipment additions and compute monthly depreciation.
6. STEP 5 — Working Capital: compute current assets minus current liabilities, using the working-capital-days assumptions for receivables, payables and inventory.
7. STEP 6 — Financial Liabilities: schedule the loan balances and interest expense at the given interest rate.
8. STEP 7 — Master Budget Compilation: consolidate all schedules into the budgeted Income Statement, Balance Sheet and Cash Flow Statement.
9. Check that the Balance Sheet balances and the closing cash on the Cash Flow ties to the Balance Sheet cash.
10. Present your consolidated Master Budget and key assumptions to the class.

Data files for this activity (activities/activity05/)

- activity-05-99-agency-template.xlsx — The 99 Agency master-budget working template — Assumptions, Revenue and Cost of Sales schedules pre-wired; SG&A, Fixed Assets, Working Capital, Liabilities and Master Budget sheets to build.
- activity-05-client-baseline.csv — Per-client FY2025 revenue and expected FY2026 growth (the bottom-up input).
- activity-05-assumptions.csv — Every case assumption as plain data.

Analyzing the Excel workbook — step by step

1. Open activities/activity05/activity-05-99-agency-template.xlsx. The Assumptions sheet holds every case parameter in blue — market size 12m × 12% share, cost-of-sales rates, fixed and variable SG&A, quarterly CAPEX (40k/60k/25k/80k), 10% depreciation on beginning fixed assets of 400k, liabilities falling from 3.2m to 2.8m at 5% interest, and AR/AP days.
2. STEP 1 — open the '1 Revenue' sheet. The bottom-up plan is pre-wired: each client's FY2026 revenue = FY2025 × (1 + growth) — click D4 and read =B4*(1+C4). The top-down target pulls from the Assumptions sheet (=Assumptions!B4*Assumptions!B5 = 1,440,000), and the yellow committee cell takes the AVERAGE of bottom-up and top-down. Confirm the bottom-up total is 1,534,800 and the committee target 1,487,400.

3. STEP 2 — open '2 Cost of Sales': revenue is split 60% Ad / 40% SEO, and each stream is costed at its Assumptions rate (30% / 25%). Trace each formula back to the sheets it references — this is the baseline + averaging method from the slides.
4. STEP 3 — build the '3 SGA' sheet: list the six fixed fees from Assumptions (rent 60k, accounting 12k, legal 8k, training 10k, management salaries 180k, admin 24k), then add the two variable lines = committee revenue $\times$ 4% (external services) and $\times$ 3% (selling commissions). Total the SG&A.
5. STEP 4 — build '4 Fixed Assets': beginning fixed assets 400,000 + the four quarterly CAPEX amounts = closing gross assets 605,000; depreciation = 10% $\times$ beginning fixed assets = 40,000; closing net assets = closing gross – accumulated depreciation.
6. STEP 5 — build '5 Working Capital': Accounts Receivable = committee revenue $\times$ 45/365; Accounts Payable = total cost of sales $\times$ 30/365. Working capital = AR – AP.
7. STEP 6 — build '6 Liabilities': beginning 3,200,000, ending 2,800,000 (repayment 400,000); interest expense = 5% $\times$ average balance ((3.2m+2.8m)/2 $\times$ 5% = 150,000).
8. STEP 7 — build '7 Master Budget': compile the Income Statement (committee revenue – cost of sales – SG&A – depreciation – interest = net profit), then the Balance Sheet (net fixed assets, AR, cash; liabilities and equity with retained earnings up by net profit) and the Cash Flow. Check: the Balance Sheet balances and closing cash ties to the Cash Flow.
9. Present your consolidated Master Budget: show the committee revenue decision, the schedule totals and the final three statements.

Analyzing the CSV data — step by step

1. Open activities/activity05/activity-05-client-baseline.csv — the raw bottom-up input: five client rows with FY2025 revenue and expected growth. Import it into a blank sheet and recompute the bottom-up total (Σ revenue $\times$ (1+growth)) = 1,534,800 to verify it matches the template.
2. Open activities/activity05/activity-05-assumptions.csv — every assumption as data. Use it as your checklist while building STEP 3–7: tick each assumption off as your schedules consume it; an unused assumption means a schedule is incomplete.
3. If you prefer building from scratch, import both CSVs into one workbook and construct the whole 7-schedule model from the raw data instead of the pre-wired template — the totals must come out identical.

Check your work

Your 99 Agency Master Budget consolidates all seven schedules; the Balance Sheet balances, closing cash ties across statements, and you presented the budget with its assumptions.

Note: A printable copy of this activity — with its workflow diagram and data files — is in the activities/activity05/ folder of the course repository.

Topic 04 — Budget Control Plan

Preparing the budget control plan · Budgetary control techniques (A4, K5, K7)

Key concepts

- Budgetary control — Prepare budgets, compare standards with actual performance, find the reasons for differences and take corrective action.
- Operating control — Covers revenue and operating expenses to protect day-to-day operations and target EBITDA.
- Cash flow control — Compares forecast inflows/outflows with actuals so obligations are always covered; invests idle cash.
- Capex control — Plans and manages large capital expenditures so only profitable investments are made, at the right time.
- Road map — Develop the budget collaboratively, document policies, train users and designate a budget manager.
- Accountability — Managers are responsible and accountable for their department budgets, on one source of truth.

Activity 6 — Knowledge Check Quiz — Budget Control

Learning outcome: LO4 — Prepare budget control plan (A4, K5, K7).

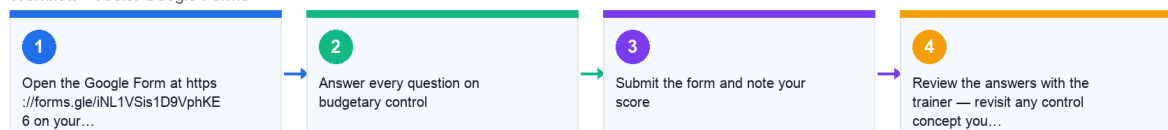
Goal: Check your understanding of budgetary control — the control types, the control process steps and the budget process road map — with an online quiz.

What you'll produce

A submitted quiz on budget control with your score reviewed against the class. (Tools: Google Forms.)

Activity 6 — Knowledge Check Quiz — Budget Control

Workflow · Tools: Google Forms



Activity 6 workflow — Knowledge Check Quiz — Budget Control

Step-by-step

1. Open the Google Form at <https://forms.gle/iNL1VSis1D9VphKE6> on your laptop or phone.
2. Answer every question on budgetary control: the control process steps, operating vs cash-flow vs capital-expenditure control, and the budget process road map.
3. Submit the form and note your score.
4. Review the answers with the trainer — revisit any control concept you missed.

Data files for this activity (activities/activity06/)

- activity-06-budget-control-monitor.xlsx — Six departments' mid-year budget vs actual with live variance, variance-% and a REVIEW/OK status driven by a 10% threshold cell.
- activity-06-budget-control-monitor.csv — The same monitor as plain data (no formulas) for you to rebuild.

Analyzing the Excel workbook — step by step

1. Open activities/activity06/activity-06-budget-control-monitor.xlsx before attempting the quiz — it makes the control-loop concepts concrete.
2. Read row by row: each department has an Annual Budget, YTD Budget and YTD Actual. $\text{Variance} = \text{Actual} - \text{Budget}$ ($=D5-C5$) and $\text{Var \%} = \text{Variance} \div \text{YTD Budget}$.
3. Click a Status cell and read the control formula: $=\text{IF}(\text{ABS}(F5)>\$B\$2, \text{"REVIEW"}, \text{"OK"})$ — any department whose absolute variance % exceeds the yellow threshold cell (10%) is flagged for corrective action. This IS budgetary control: compare, investigate, correct.
4. Identify the flagged departments (Marketing overspend $\approx +19\%$, Operations $\approx +9\%$) and, for each, say which control applies — operating, cash flow or capital-expenditure control — and what corrective action you would take.
5. Change the threshold from 10% to 5% and watch more departments flip to REVIEW — thresholds decide how much management attention the process demands. Undo when done.
6. Now take the Google Form quiz; use the workbook to reason about the control-process questions.

Analyzing the CSV data — step by step

1. Import activities/activity06/activity-06-budget-control-monitor.csv into a blank spreadsheet — it has only the three data columns per department.

2. Rebuild the monitor yourself: add Variance, Var % and Status columns with the formulas from the Excel walkthrough. Getting the IF/ABS threshold formula right is the point of the exercise.
3. Check your rebuilt monitor flags exactly the same departments as the workbook.

Check your work

You submitted the quiz and can explain any question you got wrong — especially the three types of budget control and the corrective-action loop.

Note: A printable copy of this activity — with its workflow diagram and data files — is in the activities/activity06/ folder of the course repository.

Topic 05 — Budget Analysis

Compare budget with estimation · Financial methodologies for budget control (A5, K8, K9)

Key concepts

- Budget vs actual — Variance = actual – budget, in dollars and as a % — displayed on a Budget-to-Actual report.
- Adverse variance — Actual income below budget or expenditure above budget — a deficit to investigate.
- Favourable variance — Actual income above budget or expenditure below budget — a surplus to substantiate.
- Thresholds — Manage overspends and underspends with clear dollar or percentage variance thresholds.
- Analysis techniques — Vertical and horizontal analysis, benchmarking, and P&L / Balance-Sheet / ratio KPIs.
- Technology & BI — Move beyond Excel — ERP budgeting modules and BI dashboards (Power BI on Xero) for insight.

Activity 7 — Budget Variance Analysis in Xero

Learning outcome: LO5 — Perform financial analysis to highlight discrepancies (A5, K8, K9).

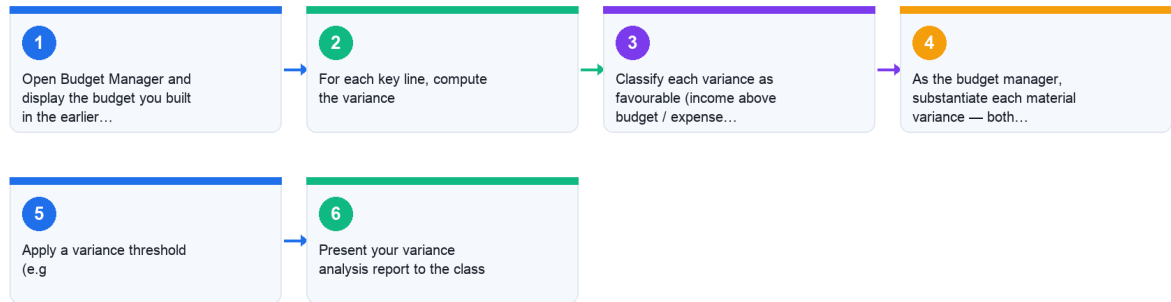
Goal: Compare your Xero budget against actual performance, identify favourable and adverse variances, substantiate them as a budget manager and present the analysis.

What you'll produce

A budget-to-actual variance analysis report identifying and substantiating favourable and adverse variances, presented to the class. (Tools: Xero Budget Manager.)

Activity 7 — Budget Variance Analysis in Xero

Workflow · Tools: Xero Budget Manager



Activity 7 workflow — Budget Variance Analysis in Xero

Step-by-step

1. Open Budget Manager and display the budget you built in the earlier activity alongside actuals (set the actuals comparison to 3, 6 or 12 months).
2. For each key line, compute the variance: actual minus budget, in dollars and as a percentage of budget.
3. Classify each variance as favourable (income above budget / expense below budget) or adverse (income below budget / expense above budget).
4. As the budget manager, substantiate each material variance — both favourable and adverse: what business events explain it?
5. Apply a variance threshold (e.g. $\pm 10\%$ or $\pm \$5,000$) to decide which variances need management action.
6. Present your variance analysis report to the class.

Data files for this activity (activities/activity07/)

- activity-07-budget-vs-actual.xlsx — Budget and Actual sheets (8 accounts $\times$ 12 months) plus a Variance sheet that classifies every line Favourable/Adverse against a threshold.
- activity-07-budget.csv — The budget as plain data.
- activity-07-actual.csv — The actuals as plain data.

Analyzing the Excel workbook — step by step

1. Open activities/activity07/activity-07-budget-vs-actual.xlsx. The Budget and Actual sheets hold the same 8 accounts across Jan–Dec; actuals deviate from budget (Sales ran $\sim 3\%$ under, Marketing $\sim 28\%$ over, Direct Costs $\sim 4\%$ over...).

2. Open the Variance sheet: Budget and Actual totals are pulled cross-sheet ($=\text{Budget!N4}$, $=\text{Actual!N4}$ — green-style links), $\text{Variance} = \text{Actual} - \text{Budget}$, $\text{Var \%} = \text{Variance} \div \text{Budget}$.
3. Study the Classification formula: for an income account a positive variance is Favourable; for an expense account a NEGATIVE variance is Favourable — click G5 and read the nested IF that encodes this. This distinction is the heart of variance analysis.
4. Identify every Adverse line above the 10% threshold (Marketing +28%) and every Favourable one (Other Expenses -8%). Substantiate each as the budget manager: what business events explain it?
5. Sales is under budget by ~3% — express the variance in dollars AND as a % (the Budget-to-Actual report style from the slides: e.g. budget 500,000, actual 400,000 → (100,000) and (20%)).
6. Reproduce the same analysis in Xero: display your Budget Manager budget alongside actuals, and compare Xero's variance columns with the workbook's.
7. Write your variance analysis report: each material variance, its classification, substantiation, and the corrective action — then present it to the class.

Analyzing the CSV data — step by step

1. Import both activities/activity07/activity-07-budget.csv and activities/activity07/activity-07-actual.csv into ONE spreadsheet on two sheets — this simulates receiving separate system exports.
2. Build your own Variance sheet from scratch: reference the two imported sheets, compute Variance and Var %, and add the income-vs-expense Favourable/Adverse IF formula.
3. Cross-check your computed variances against the workbook's Variance sheet — every figure must match. If one differs, find whether your cross-sheet reference points at the wrong row (the classic variance-report bug).

Check your work

Your report shows dollar and percentage variances for each key account, labels each as favourable or adverse, substantiates the material ones, and was presented to the class.

Note: A printable copy of this activity — with its workflow diagram and data files — is in the activities/activity07/ folder of the course repository.

Activity 8 — Budget Analysis Dashboard with Power BI

Learning outcome: LO5 — Perform financial analysis to highlight discrepancies (A5, K8, K9).

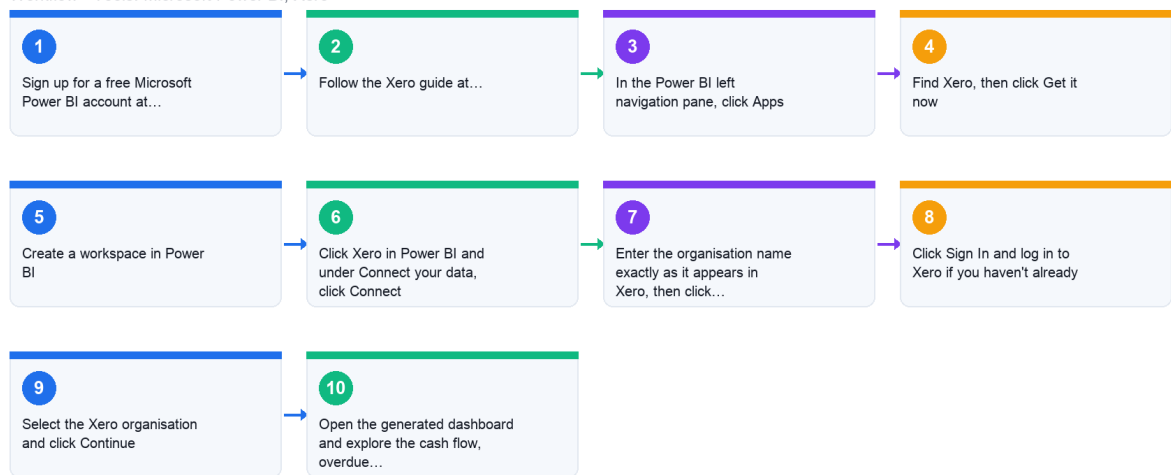
Goal: Connect Microsoft Power BI to your Xero organisation and build a dashboard that analyses cash flow, overdue invoices and bills, and profitability.

What you'll produce

A Power BI dashboard fed daily from Xero contacts, invoices, bills and trial balance.
(Tools: Microsoft Power BI, Xero.)

Activity 8 — Budget Analysis Dashboard with Power BI

Workflow · Tools: Microsoft Power BI, Xero



Activity 8 workflow — Budget Analysis Dashboard with Power BI

Step-by-step

1. Sign up for a free Microsoft Power BI account at <https://powerbi.microsoft.com/en-us/landing/signin/> (a Pro trial is sufficient).
2. Follow the Xero guide at <https://central.xero.com/s/article/Microsoft-Power-Bi#Connectyourorganisation>.
3. In the Power BI left navigation pane, click Apps.
4. Find Xero, then click Get it now.
5. Create a workspace in Power BI.
6. Click Xero in Power BI and under Connect your data, click Connect.
7. Enter the organisation name exactly as it appears in Xero, then click Next.

8. Click Sign In and log in to Xero if you haven't already.
9. Select the Xero organisation and click Continue.
10. Open the generated dashboard and explore the cash flow, overdue invoices/bills and profitability visuals.

Data files for this activity (activities/activity08/)

- activity-08-xero-export.xlsx — A Xero-style export: 60 sales invoices, 48 supplier bills and a balanced trial balance.
- activity-08-invoices.csv — The invoices as CSV — ready to load into Power BI.
- activity-08-bills.csv — The bills as CSV.
- activity-08-trial-balance.csv — The trial balance as CSV.

Analyzing the Excel workbook — step by step

1. Open activities/activity08/activity-08-xero-export.xlsx. The Invoices sheet lists six months of sales invoices (number, date, due date, contact, amount, amount paid, status); Bills is the supplier side; Trial Balance is the account-level position.
2. On Invoices, read the Total and Outstanding cells below the table: Outstanding = total invoiced – total paid — this is the receivables exposure a cash-flow dashboard must show.
3. Analyse receivables: insert a PivotTable (Insert → PivotTable) with Contact on rows and Amount – Amount Paid as values to rank customers by outstanding balance; filter Status = Authorised to isolate unpaid invoices.
4. Repeat on Bills for payables: which suppliers are owed the most, and in which months do payments cluster?
5. On Trial Balance, confirm the Balance check cell equals 0 (total debits = total credits, 1,442,000 each side) — an unbalanced TB means the export is corrupt. Identify which accounts are P&L (Sales, COGS, expenses) and which are Balance Sheet.
6. From the TB compute profitability in spare cells: Sales – COGS – expenses = operating result; compare gross margin with Activity 1.
7. In Power BI Desktop (or the Power BI service), use Get Data → Excel workbook to load all three sheets and build three visuals: outstanding receivables by contact (bar), monthly invoiced vs paid (line), and expenses breakdown from the TB (donut). This mirrors what the Xero connector builds automatically.

Analyzing the CSV data — step by step

1. The three CSVs are the same tables as system exports. In Power BI: Get Data → Text/CSV, load activity-08-invoices.csv, activity-08-bills.csv and activity-08-trial-

balance.csv — use this route whenever the live Xero connector is unavailable in class.

2. In Power Query, check each column's data type (dates as Date, amounts as Decimal Number) before loading — CSV imports default to text when a type is ambiguous, and a text amount cannot be summed.
3. Add a computed column $\text{Outstanding} = \text{Amount} - [\text{Amount Paid}]$ on invoices, then build the same three visuals as the Excel walkthrough.
4. Cross-check one number between the two routes: total outstanding receivables from your CSV-based dashboard must equal the workbook's Outstanding cell.

Check your work

Power BI displays the Xero dashboard for your organisation and you can read off cash-flow, receivables and profitability insights that support budget analysis.

Note: A printable copy of this activity — with its workflow diagram and data files — is in the activities/activity08/ folder of the course repository.

Topic 06 — Budget Approval

Budget approval process · Stakeholder precautions (A6, K10)

Key concepts

- Stakeholders — Boards are ambitious, mid-management conservative — the budgeting committee reconciles and 'sells' the final numbers.
- Approval pack — Review of past year, goals and objectives, rolling forecast, plan details and realistic costs.
- Approval process — Draft → departmental review → budget committee → board approval → communicated plan.
- Communicate fast — An approved plan adds no value until business units receive it and start tracking performance.
- Common issues — Slow approvals, no tracking framework, manual effort and no single source of truth for spend.
- Right tooling — Robust tracking tools, frameworks and resources make approval meaningful.

Activity 9 — Knowledge Check Quiz — Budget Approval

Learning outcome: LO6 — Report budget and seek approval (A6, K10).

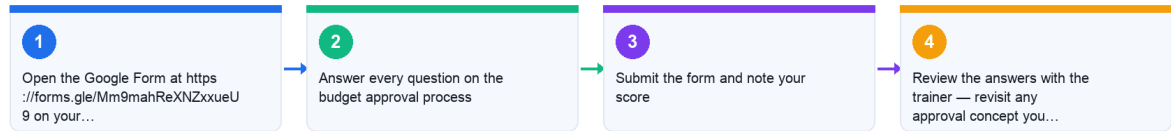
Goal: Check your understanding of the budget approval process, the stakeholder precautions and the common approval issues with an online quiz.

What you'll produce

A submitted quiz on budget approval with your score reviewed against the class.
(Tools: Google Forms.)

Activity 9 — Knowledge Check Quiz — Budget Approval

Workflow · Tools: Google Forms



Activity 9 workflow — Knowledge Check Quiz — Budget Approval

Step-by-step

1. Open the Google Form at <https://forms.gle/Mm9mahReXNZxxueU9> on your laptop or phone.
2. Answer every question on the budget approval process: the approval steps, the stakeholder precautions (past-year review, goals, forecast, plan details, costs) and the common issues.
3. Submit the form and note your score.
4. Review the answers with the trainer — revisit any approval concept you missed.

Data files for this activity (activities/activity09/)

- activity-09-approval-pack.xlsx — Six departmental FY2027 budget submissions with growth-% formulas and an HQ growth-cap check.
- activity-09-approval-pack.csv — The submissions as plain data.

Analyzing the Excel workbook — step by step

1. Open activities/activity09/activity-09-approval-pack.xlsx before the quiz — it walks the approval process with real numbers.
2. Each department row shows FY2026 Actual, FY2027 Requested and a Growth % formula. The yellow cell holds the HQ cap: the total ask may grow at most 8% over prior year.
3. Read the bottom check: total requested vs total actual → the 'Within HQ cap?' cell. The total ask (1,308,000 vs 1,124,000 ≈ +16%) exceeds the cap, so the committee must trim — exactly the 'numbers are opened up and re-sold' stage from the slides.
4. Play the budgeting-committee role: decide where to trim to bring the total within 8%, using each department's justification column (protect statutory HR increments; challenge the largest discretionary asks like Marketing +31% and IT +43%).

5. For your trimmed plan, state how you would present it for approval: past-year review, goals, forecast, plan details, realistic costs — the five-part approval pack.
6. Then take the Google Form quiz on budget approval.

Analyzing the CSV data — step by step

1. Import activities/activity09/activity-09-approval-pack.csv into a spreadsheet and rebuild the pack: add the Growth % column, the totals row and the cap check formula yourself.
2. Sort by your Growth % column descending to produce the committee's challenge list — the order in which requests get questioned.

Check your work

You submitted the quiz and can walk through the approval pack a budget manager presents — and the common issues that stall approval.

Note: A printable copy of this activity — with its workflow diagram and data files — is in the activities/activity09/ folder of the course repository.

Topic 07 — Financial Compliance

Singapore taxation policies · Financial control and compliance (A7, K6)

Key concepts

- Corporate tax — All companies pay tax under the Income Tax Act on income derived from or remitted into Singapore — flat 17% on chargeable income.
- Tax residency — A company is tax-resident where control and management are exercised — usually where board meetings are held.
- Year of Assessment — The 12-month period in which income is assessed — YA follows the financial year end.
- Start-Up Exemption — First 3 YAs: 75% exemption on the first S\$100k and 50% on the next S\$100k of chargeable income.
- ECI & filing — File Estimated Chargeable Income within 3 months of FY end; e-File corporate tax by 30 Nov.
- Penalties — Late filing risks prosecution; late payment attracts 5% penalty plus 1% per month up to 12%.

Activity 10 — Determining the Year of Assessment

Learning outcome: LO7 — Perform financial control to ensure compliance (A7, K6).

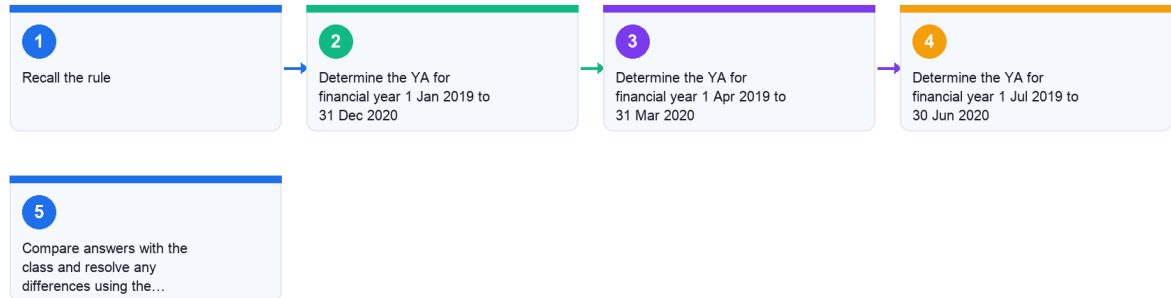
Goal: Work out the Year of Assessment (YA) for a set of company financial years, applying IRAS's rule that the YA is the year following the financial year end.

What you'll produce

A completed YA worksheet mapping each financial year to its Year of Assessment.
(Tools: YA worksheet, IRAS website.)

Activity 10 — Determining the Year of Assessment

Workflow · Tools: YA worksheet, IRAS website



Activity 10 workflow — Determining the Year of Assessment

Step-by-step

1. Recall the rule: the YA is the 12-month period in which the company's income is assessed — income earned in a financial year is assessed in the YA that follows the financial year end.
2. Determine the YA for financial year 1 Jan 2019 to 31 Dec 2020.
3. Determine the YA for financial year 1 Apr 2019 to 31 Mar 2020.
4. Determine the YA for financial year 1 Jul 2019 to 30 Jun 2020.
5. Compare answers with the class and resolve any differences using the IRAS definition.

Data files for this activity (activities/activity10/)

- activity-10-ya-worksheet.xlsx — Five financial years with an empty (yellow) Year of Assessment column.
- activity-10-ya-worksheet.csv — The same worksheet as plain data.

Analyzing the Excel workbook — step by step

1. Open activities/activity10/activity-10-ya-worksheet.xlsx — five financial years, including the three from the slides plus two current ones.

2. Recall the rule: income earned in a financial year is assessed in the YA that follows the financial year END.
3. Fill the yellow YA column for each row: a FY ending 31 Dec 2020 → YA 2021; ending 31 Mar 2020 → YA 2021; ending 30 Jun 2020 → YA 2021; ending 31 Dec 2025 → YA 2026; ending 30 Sep 2025 → YA 2026.
4. For the first row (1 Jan 2019 – 31 Dec 2020, a 24-month first period), note that IRAS attributes the income across two YAs in practice — state the YA for the year end and flag the long-first-period point for discussion.
5. Compare answers with the class and resolve differences against the IRAS definition.

Analyzing the CSV data — step by step

1. Import activities/activity10/activity-10-ya-worksheet.csv, fill the YA column, and save your completed copy as CSV — submit or compare this file in class.
2. Bonus: derive YA with a formula instead of typing — extract the FY-end year with RIGHT(B2,4) and add 1.

Check your work

Your worksheet assigns the correct YA to all three financial years (YA 2021, YA 2021 and YA 2021 respectively — the YA following each financial year end).

Note: A printable copy of this activity — with its workflow diagram and data files — is in the activities/activity10/ folder of the course repository.

Activity 11 — ECI and Corporate Tax Filing Deadlines

Learning outcome: LO7 — Perform financial control to ensure compliance (A7, K6).

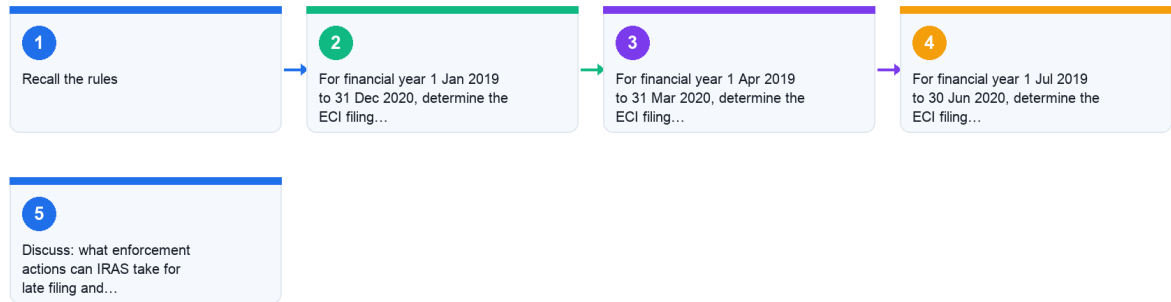
Goal: Determine when a company must file its Estimated Chargeable Income (ECI) and its corporate income tax return for a set of financial year ends.

What you'll produce

A completed filing-deadline worksheet showing the ECI deadline and income-tax filing deadline for each financial year. (Tools: Filing-deadline worksheet, IRAS website.)

Activity 11 — ECI and Corporate Tax Filing Deadlines

Workflow · Tools: Filing-deadline worksheet, IRAS website



Activity 11 workflow — ECI and Corporate Tax Filing Deadlines

Step-by-step

1. Recall the rules: ECI must be filed within 3 months of the financial year end; corporate income tax is e-Filed by 30 November (paper filing has been phased out from YA 2020).
2. For financial year 1 Jan 2019 to 31 Dec 2020, determine the ECI filing deadline and the income-tax filing deadline.
3. For financial year 1 Apr 2019 to 31 Mar 2020, determine the ECI filing deadline and the income-tax filing deadline.
4. For financial year 1 Jul 2019 to 30 Jun 2020, determine the ECI filing deadline and the income-tax filing deadline.
5. Discuss: what enforcement actions can IRAS take for late filing and late payment?

Data files for this activity (activities/activity11/)

- activity-11-filing-deadlines.xlsx — The same five financial years with empty ECI-deadline and corporate-tax e-Filing deadline columns.
- activity-11-filing-deadlines.csv — The same worksheet as plain data.

Analyzing the Excel workbook — step by step

1. Open activities/activity11/activity-11-filing-deadlines.xlsx. Two rules drive everything: ECI is due within 3 months of the financial year end; corporate tax is e-Filed by 30 November (of the YA).
2. Fill the ECI column: FY ending 31 Dec 2020 → ECI by 31 Mar 2021; 31 Mar 2020 → 30 Jun 2020; 30 Jun 2020 → 30 Sep 2020; 31 Dec 2025 → 31 Mar 2026; 30 Sep 2025 → 31 Dec 2025.
3. Fill the e-Filing column: 30 November of each row's YA (from Activity 10) — e.g. YA 2021 → 30 Nov 2021.

4. Optional formula: compute the ECI deadline with `EDATE(end_date, 3)` on a real date value to see how finance teams automate the compliance calendar.
5. Discuss: what can IRAS do on late filing (prosecution of officers) and late payment (5% penalty + 1%/month up to 12%)?

Analyzing the CSV data — step by step

1. Import `activities/activity11/activity-11-filing-deadlines.csv`, complete both deadline columns, and save your answers back to CSV.
2. Sort by ECI deadline to produce the compliance calendar in date order — the view a finance manager pins on the wall.

Check your work

Your worksheet shows the ECI deadline (FY end + 3 months) and the correct income-tax e-Filing deadline for each financial year, and you can state the late-filing and late-payment penalties.

Note: A printable copy of this activity — with its workflow diagram and data files — is in the `activities/activity11/` folder of the course repository.

Activity 12 — Start-Up Tax Computation

Learning outcome: LO7 — Perform financial control to ensure compliance (A7, K6).

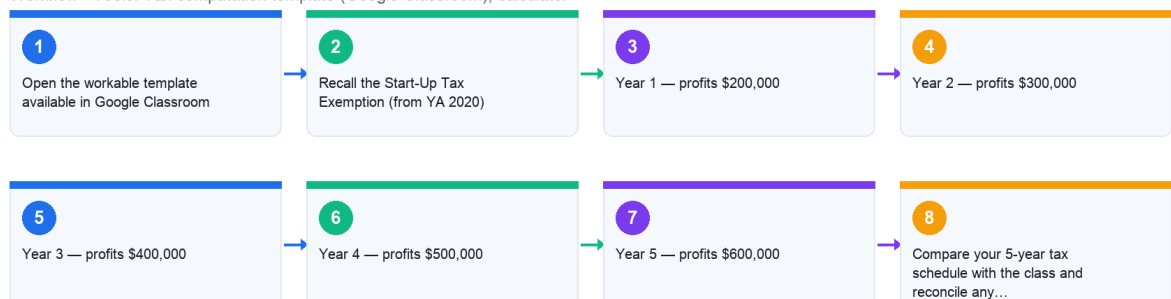
Goal: Compute the corporate tax payable by a start-up over its first five years of profits, applying the Start-Up Tax Exemption Scheme and the 17% corporate tax rate.

What you'll produce

A completed 5-year tax computation for a start-up using the provided template. (Tools: Tax computation template (Google Classroom), calculator.)

Activity 12 — Start-Up Tax Computation

Workflow · Tools: Tax computation template (Google Classroom), calculator



Activity 12 workflow — Start-Up Tax Computation

Step-by-step

1. Open the workable template available in Google Classroom.
2. Recall the Start-Up Tax Exemption (from YA 2020): for the first 3 YAs — 75% exemption on the first S\$100,000 of chargeable income and 50% exemption on the next S\$100,000; the corporate tax rate is a flat 17%.
3. Year 1 — profits \$200,000: compute the exempt amount, the chargeable income after exemption and the tax at 17%.
4. Year 2 — profits \$300,000: repeat the computation (still within the first 3 YAs).
5. Year 3 — profits \$400,000: repeat the computation (last start-up-exemption year).
6. Year 4 — profits \$500,000: compute tax without the start-up exemption (partial exemption applies from YA 4 onward).
7. Year 5 — profits \$600,000: repeat the computation without the start-up exemption.
8. Compare your 5-year tax schedule with the class and reconcile any differences.

Data files for this activity (activities/activity12/)

- activity-12-startup-tax.xlsx — Five years of profits with empty exemption / chargeable / tax columns, plus a Rates sheet holding the exemption rules.
- activity-12-startup-tax.csv — The same computation table as plain data.

Analyzing the Excel workbook — step by step

1. Open activities/activity12/activity-12-startup-tax.xlsx. The Rates sheet holds the rules: 17% flat rate; Start-Up Exemption (first 3 YAs) 75% of the first S\$100,000 + 50% of the next S\$100,000; from Year 4 the Partial Exemption of 75% of the first S\$10,000 + 50% of the next S\$190,000.
2. Year 1 (profits 200,000): exempt = $75\% \times 100,000 + 50\% \times 100,000 = 125,000$; chargeable = 75,000; tax = $75,000 \times 17\% = 12,750$. Enter these in the yellow cells — with formulas referencing the Rates sheet, not typed numbers.
3. Year 2 (300,000): the exemption only ever covers the first 200,000 of income, so exempt = 125,000; chargeable = 175,000; tax = 29,750.
4. Year 3 (400,000): exempt = 125,000; chargeable = 275,000; tax = 46,750 — the last start-up-exemption year.
5. Year 4 (500,000): switch to the Partial Exemption — exempt = $75\% \times 10,000 + 50\% \times 190,000 = 102,500$; chargeable = 397,500; tax = 67,575.
6. Year 5 (600,000): exempt = 102,500; chargeable = 497,500; tax = 84,575.

7. Add a Total row (=SUM of the tax column = 241,400) and a check: effective tax rate per year = tax ÷ profits — watch it climb from 6.4% to 14.1% as the start-up relief expires.

Analyzing the CSV data — step by step

1. Import activities/activity12/activity-12-startup-tax.csv, rebuild the same computation with formulas, and compare your five tax figures with the class.
2. Save your completed computation as CSV — a values-only copy is what you would attach to a tax working-paper file.

Check your work

Your template shows, for each of the five years, the exemption applied, the chargeable income after exemption and the tax at 17% — with years 1–3 using the Start-Up Tax Exemption.

Note: A printable copy of this activity — with its workflow diagram and data files — is in the activities/activity12/ folder of the course repository.

Assessment Preparation

- The Written Assessment (SAQ) is 70 minutes and tests the knowledge areas K1–K10 — review the Key Concepts of every topic.
- The Written Assessment (Case Study) is 80 minutes and tests the abilities A1–A7 — rehearse the 99 Agency master budget and the variance analysis activities.
- Both papers are open book: bring the slides, this Learner Guide and your completed activity templates.
- A minimum of 75% attendance is required to be eligible for assessment and funding.

Glossary

- **Budget** — A quantitative plan for acquiring and using resources over a specified period.
- **Master Budget** — The document aggregating all departmental inputs — budgeted P&L, Balance Sheet and Cash Flow.
- **Baseline / Incremental / Zero-based** — Budget preparation methods: previous plan as base / % or \$ on the baseline / starting fresh.
- **Accrual accounting** — Recording revenue when earned and expenses when incurred, regardless of cash movement.
- **Time value of money** — A dollar today is worth more than a dollar tomorrow, due to its earning capacity.

- **Cash budget** — An estimate of cash inflows and outflows over a period, proving the entity can keep operating.
- **Working capital** — Current assets minus current liabilities — the measure of short-term financial health.
- **Budgetary control** — Comparing budget standards with actual performance and taking corrective action.
- **Variance** — Actual minus budget, in dollars or %; favourable (better than budget) or adverse (worse).
- **Vertical / Horizontal analysis** — Each line as a % of a base within a period / change of each line across periods.
- **Year of Assessment (YA)** — The 12-month period in which a company's income is assessed by IRAS.
- **ECI** — Estimated Chargeable Income — filed within 3 months of the financial year end.
- **Start-Up Tax Exemption** — First 3 YAs: 75% exemption on the first S\$100k and 50% on the next S\$100k of chargeable income.